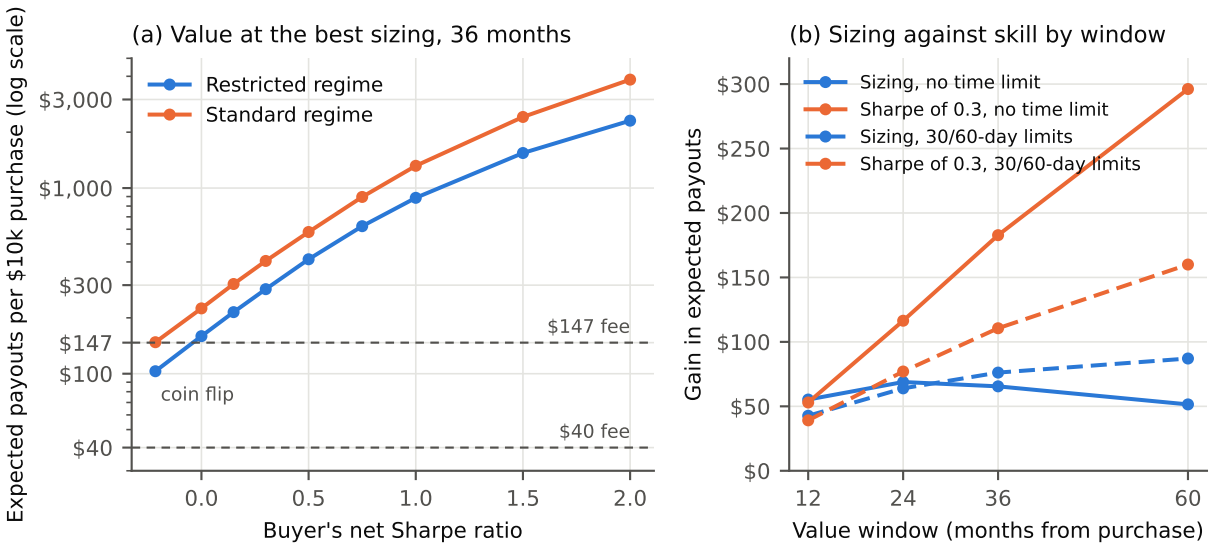
(a) Value at the best sizing, 36 months
Restricted regime
Standard regime
$3,000
$1,000
$300
$147
$100
$40
$147 fee
$40 fee
coin flip
Expected payouts per $10k purchase (log scale)
0.0
0.5
1.0
1.5
2.0
Buyer's net Sharpe ratio
(b) Sizing against skill by window
Sizing, no time limit
Sharpe of 0.3, no time limit
Sizing, 30/60-day limits
Sharpe of 0.3, 30/60-day limits
$300
$250
$200
$150
$100
$50
$0
Gain in expected payouts
12
24
36
60
Value window (months from purchase)